Introduction to Conventional and Digital Marketing

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Introduction to Marketing

- Defined as:
  - The process of **CREATING VALUE** for customers, **BUILDING STRONG RELATIONSHIP** with the customers and receiving **VALUE FROM CUSTOMERS in RETURN.**
    - Achieving the objective of Creating Value and Building Strong Relationship involves various activities which we will summarize in the next few slides.

Value Creation

“Creating Value" refers to the process of enhancing a product, service, or offering in a way that meets the **needs and desires of customers**, thereby increasing their **satisfaction** and **willingness to pay**. Must consider several aspects while discussing Value Creation, like:

- Customer-Centric Approach
- Differentiation
- Benefits Vs Cost
- Customer Experience
- Continuous Improvement

Activities/Processes Involved in Creating Value

- Customer Identification
    - Segmentation
        - Target Marketing
- Analysis of Micro and Macro Environmental factors, and MIS
- Understanding of Consumer buyer behavior
- Customer Driven Marketing strategies
    - Product, Services and brand strategies
    - Pricing Strategies
    - Distribution Channel Strategies
    - Promotional Strategies

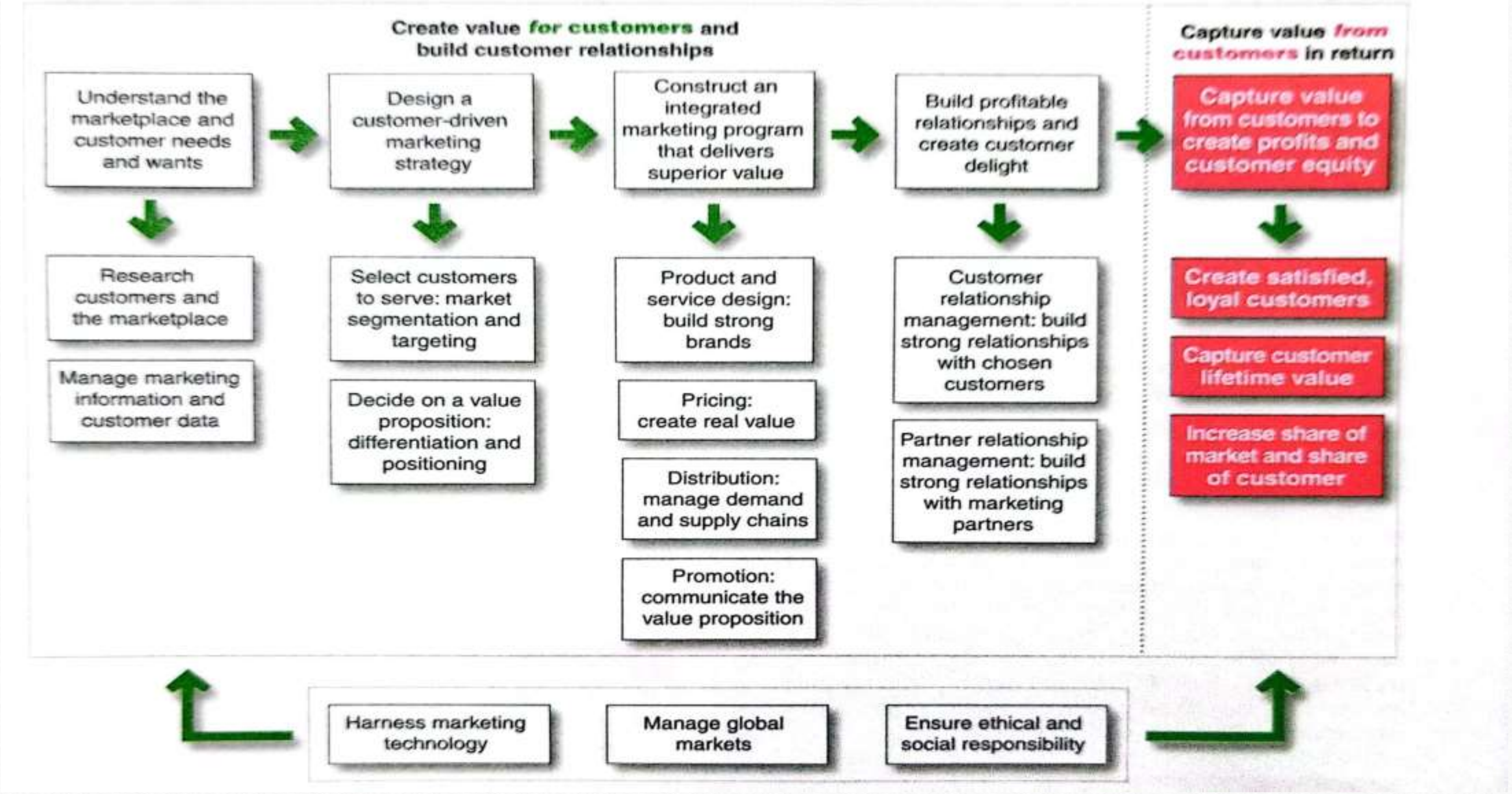
Building Strong Customer Relationship

"Building strong customer relationships" refers to the process of cultivating positive, meaningful, and long-lasting connections with customers. It involves developing a bond of trust, understanding, and mutual respect between a company or brand and its customers.

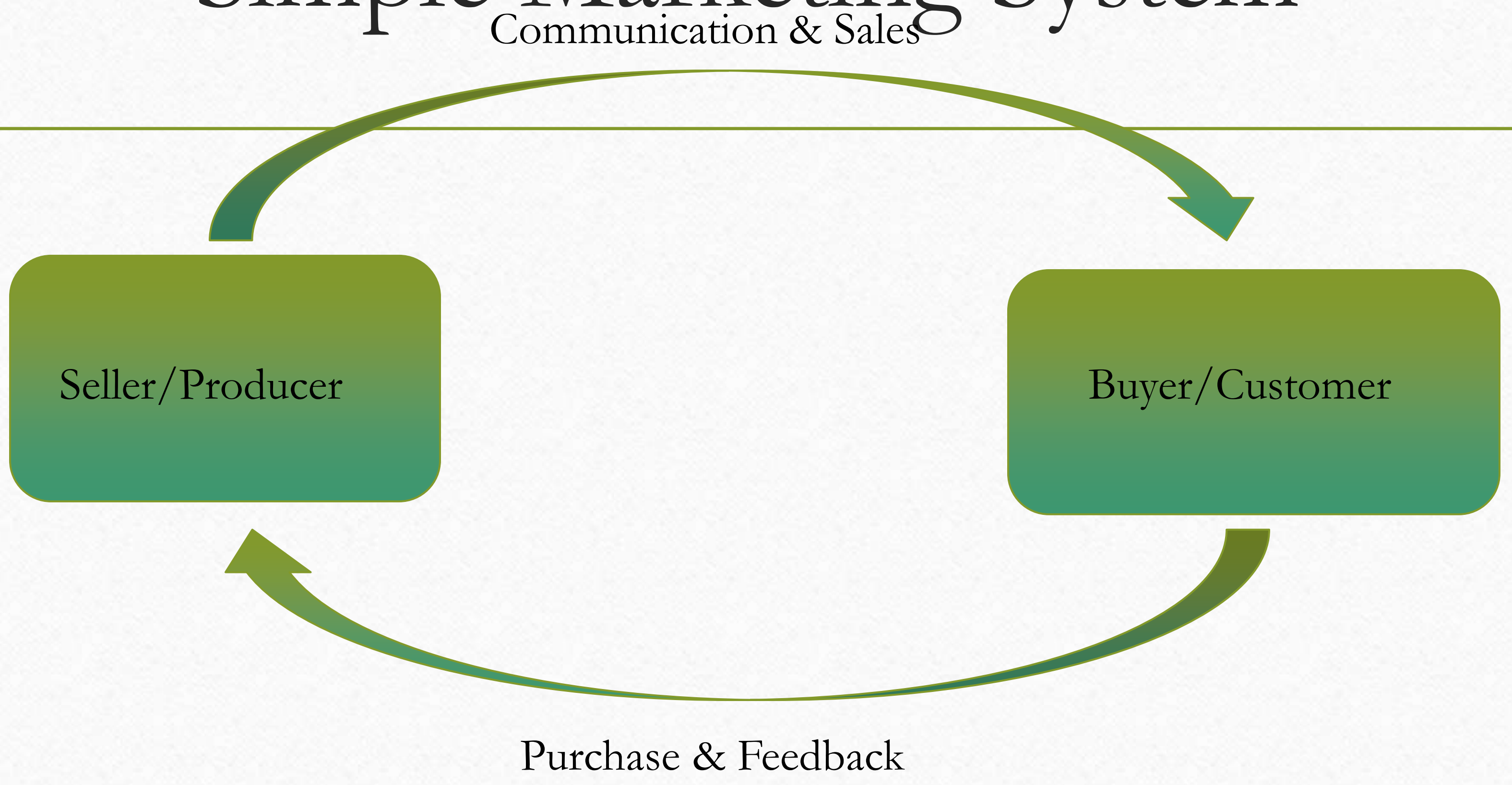
Key Elements of Building Strong Customer Relationship

Key elements of building strong customer relationships include:

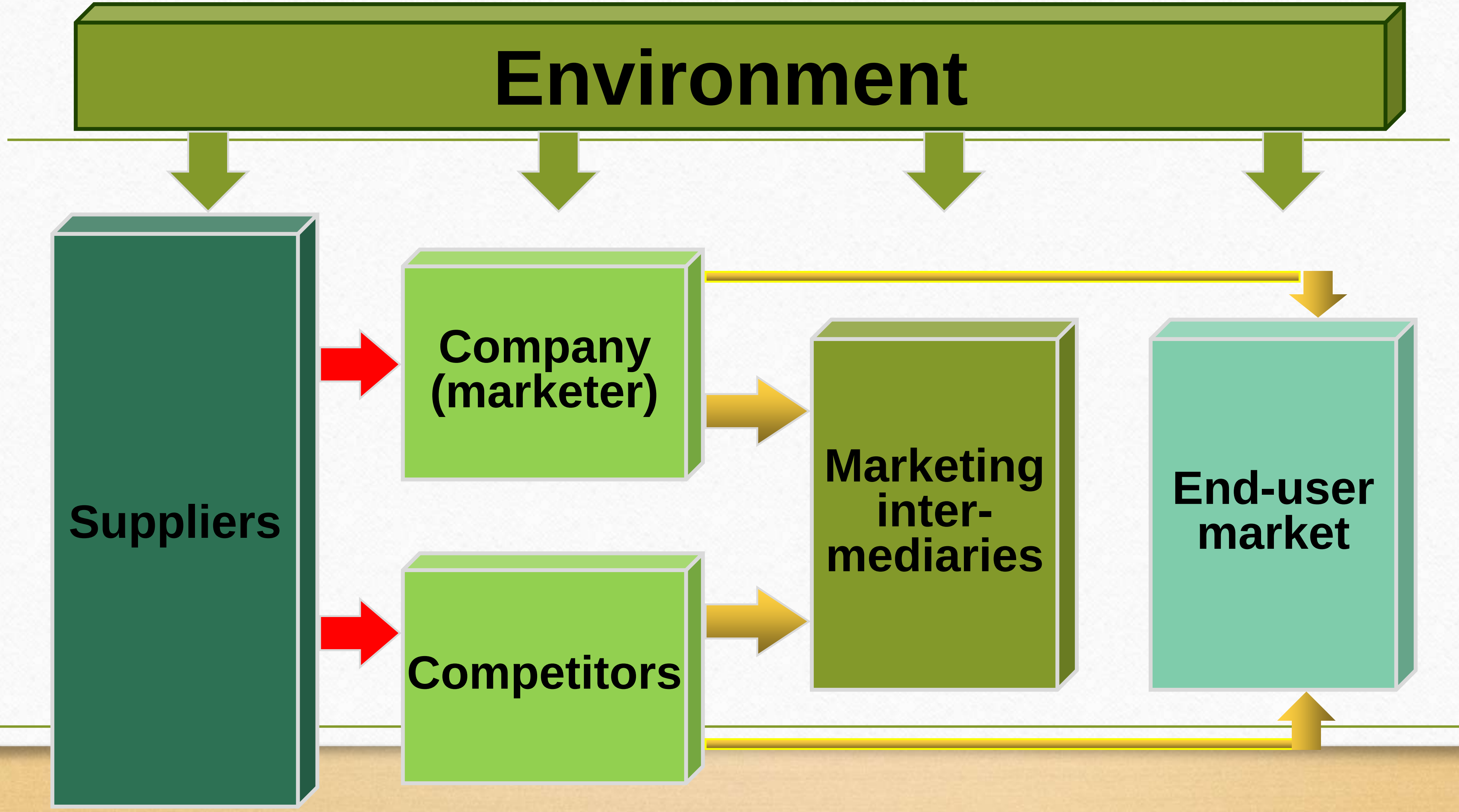
- Customer Engagement
- Personalization
- Customer Support
- Consistency
- Exceeding Expectations
- Loyalty Programs
- Communication
- Empathy
- Asking for Feedback
- Resolving Issues

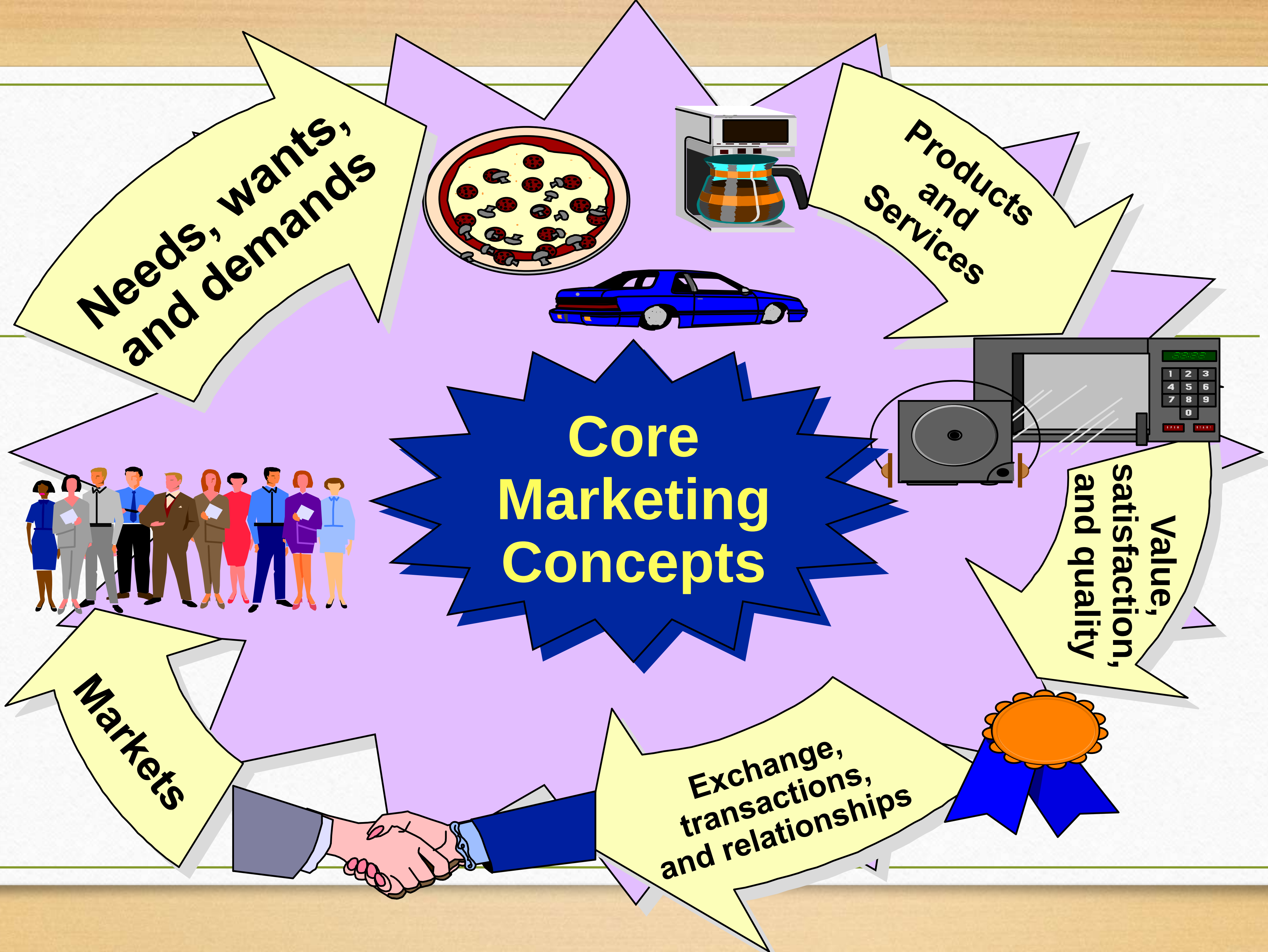

Create value for customers and build customer relationships
Capture value from customers in return
Understand the marketplace and customer needs and wants
Research customers and the marketplace
Manage marketing information and customer data
Design a customer-driven marketing strategy
Select customers to serve: market segmentation and targeting
Decide on a value proposition: differentiation and positioning
Construct an integrated marketing program that delivers superior value
Product and service design: build strong brands
Pricing: create real value
Distribution: manage demand and supply chains
Promotion: communicate the value proposition
Build profitable relationships and create customer delight
Customer relationship management: build strong relationships with chosen customers
Partner relationship management: build strong relationships with marketing partners
Capture value from customers to create profits and customer equity
Create satisfied, loyal customers
Capture customer lifetime value
Increase share of market and share of customer
Harness marketing technology
Manage global markets
Ensure ethical and social responsibility

Simple Marketing System



Actors and Forces in a Modern Marketing System




Core Marketing Concepts
Needs, wants, and demands
Products and Services
Value, satisfaction, and quality
Exchange, transactions, and relationships
Markets

Digital Marketing

Digital marketing refers to the **use of digital channels**, **platforms**, and **technologies** to **promote and advertise** products, services, or brands to a target audience. It encompasses a wide range of online marketing strategies and tactics designed to reach potential customers through various **digital mediums**.

- Digital marketing provides businesses with the ability to target specific demographics, track the effectiveness of marketing campaigns in real-time, and adjust strategies accordingly.

Digital Medium

In terms of Marketing there are 3 technical requirements for something to be categorized as a Digital Medium:

- The medium should enable broadcasting of a message to a lot of people
- The receiver of the message must have the ability to respond in some way
- The receivers should be able to communicate with each other and form groups on the medium. By this definition Social media, Blogs, Websites all may be included in Digital Media.

Key Components of Digital Marketing

Include:

- Website Marketing
- Search Engine Marketing (SEM)
- Content Marketing
- Social Media Marketing
- Email Marketing
- Pay Per Click Advertising
- Affiliate Marketing
- Influencer Marketing.
- Online PR
- Analytics and Data Analysis

Advantages of Digital Marketing

The main advantage of digital marketing is that a targeted audience can be reached in a cost-effective and measurable way. Other digital marketing advantages include increasing brand loyalty and driving online sales.

The benefits of digital marketing include:

- Global reach
  - a website allows you to find new markets and trade globally for only a small investment.
- Lower cost
  - a properly planned and well targeted digital marketing campaign can reach the right customers at a much lower cost than traditional marketing methods.

Advantages Continued…

- Trackable, measurable results
  - measuring your online marketing with web analytics and other online metric tools makes it easier to establish how effective your campaign has been. You can obtain detailed information about how customers use your website or respond to your advertising.
- Personalisation
  - if your customer database is linked to your website, then whenever someone visits the site, you can greet them with targeted offers. The more they buy from you, the more you can refine your customer profile and market effectively to them.

Advantages Continued…

- Social currency
  - digital marketing lets you create engaging campaigns using content marketing tactics. This content (images, videos, articles) can gain social currency - being passed from user to user and becoming viral.
- Improved conversion rates
  - if you have a website, then your customers are only ever a few clicks away from making a purchase. Unlike other media which require people to get up and make a phone call, or go to a shop, digital marketing can be seamless and immediate.

Marketing Environment

In Conventional and Digital Marketing

The Company's Micro-Environment

- **Microenvironment** consists of the actors close to the company that affect its ability to serve its customers.
- It includes the company, suppliers, marketing intermediaries, customer markets, competitors, and publics.

Actors in the Microenvironment

The Company:
Company's Internal Environment- functional areas inside a company that have an impact on the marketing department's plans.

- Top management
- Finance
- R&D
- Purchasing
- Operations
- Accounting

Actors in the Microenvironment

Supplier: provide the resources needed to produce goods and services.

Marketing Intermediaries: Help the company to promote, sell and distribute its products to final buyers.

- Resellers
- Physical distribution firms
- Marketing services agencies
- Financial intermediaries

Actors in the Microenvironment

Customers: Five types of markets that purchase a company's goods and services.

- International Markets
- Consumer Markets
- Business Markets
- Resellers
- Government Markets

Actors in the Microenvironment

Competitors: Those who serve a target market with similar products and services.

Publics: any group that perceives itself having an interest in a company's ability to achieve its objectives.

- Financial publics
- Media publics
- Local publics
- General public
- Internal publics

Actors in the Macro-environment

Demographic Environment

- Demography: is the study of human populations in terms of size, density, location, age, gender, race, occupation, and other statistics.
    - Growth in the rural population
    - A changing family system
    - The changing role of women
    - Increasing diversity

Actors in the Macro-environment

- Economic environment consists of factors that affect consumer purchasing power and spending patterns.
  - **Industrial economies** are richer markets
  - **Subsistence economies** consume most of their own agriculture and industrial output
  - **Developing economies** can offer outstanding opportunities for the right kinds of products

Actors in the Macro-environment

- Natural environment involves the natural resources that are needed as inputs by marketers or that are affected by marketing activities.
- Trends
  - Shortages of raw materials
  - Increased pollution
  - Increase government intervention in natural resource management

Actors in the Macro-environment

Technological Environment

- Most dramatic force in changing the marketplace
- Creates new products and opportunities
- Safety of new product always a concern

Actors in the Macro-environment

Political environment consists of laws, government agencies, and pressure groups that influence or limit various organizations and individuals in a given society.

- Legislation regulating business
  - Increased legislation
  - Changing government agency enforcement
  - New forms of nontariff barriers in trade
- Increased emphasis on ethics
  - Socially responsible behavior
  - Cause-related marketing

Actors in the Macro-environment

Cultural environment consists of institutions and other forces that affect a society's basic values, perceptions, and behaviors.

- **Core beliefs and values** are persistent and are passed on from parents to children and are reinforced by schools, religious institutions, businesses, and government.
- **Secondary beliefs and values** are more open to change and include people's views of themselves, others, organization, society, nature, and the universe

Principles of Marketing

Chapter#2

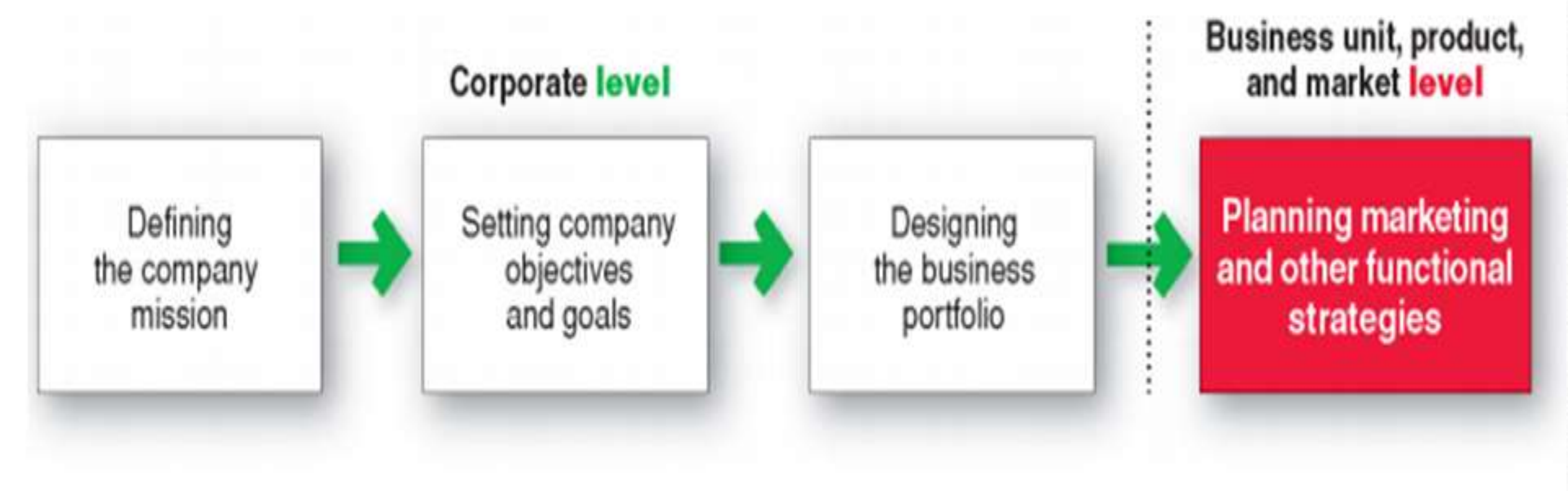
Company and Marketing Strategy

Partnering to Build Customer Relationships

Strategic planning

- Planning--what are we going to do and how are we going to do it?
- Strategic Planning is the process of developing and maintaining a strategic fit between the organization’s goals and capabilities and its changing marketing opportunities.

Steps in Strategic Planning



Steps in Strategic Planning

This process involves:

- Defining a Mission: Statement of an organization's purpose; should be market oriented.
- Setting Company Objectives: Supporting goals and objectives to guide the entire company.
- Designing a Business Portfolio: Collection of businesses and products that make up the company.
- Planning Functional Strategies: Detailed planning for each department designed to accomplish strategic objectives.

Defining a (Market-Oriented) Mission

- Shaping a sound mission begins with the following questions:
  - What is our business?
  - Who is the customer?
  - What do consumers value?
  - What should our business be?
- The mission statement is the organization's purpose, what it wants to accomplish in the larger environment
- Market-oriented mission statement defines the business in terms of satisfying basic customer needs

Designing the Business Portfolio

- The **business portfolio** is the collection of businesses and products that make up the company.
- **Business portfolio planning** involves two steps:
  - First, the company must analyze its current business portfolio and decide which businesses should receive more, less , or no investment.
  - Second, it must shape the future portfolio by developing strategies for growth and downsizing.

Designing the Business Portfolio

- **Portfolio analysis** is a major activity in strategic planning whereby management **evaluates the products and businesses** that make up the company.
- **Strategic business unit** (SBU) is a unit of the company that has a **separate mission and objectives** that **can be planned separately** from other company businesses
  - Company division
  - Product line within a division
  - Single product or brand

Analyzing the Current Business Portfolio

Identify key businesses (strategic business units, or SBUs) that make up the company

Assess the attractiveness of its various SBUs

Decide how much support each SBU deserves

The Boston Consulting Group's Growth-Share Matrix (BCG Matrix)

The Boston Consulting Group's Growth-Share Matrix (BCG Matrix)

- **Stars:** They often need heavy investments to finance their rapid growth. Eventually their growth will slow down and they will turn into cash cows.

- **Cash Cows:** These established and successful SBUs need less investment to hold their market share. They produce lot of cash that the company uses to pay bills and that need investment.

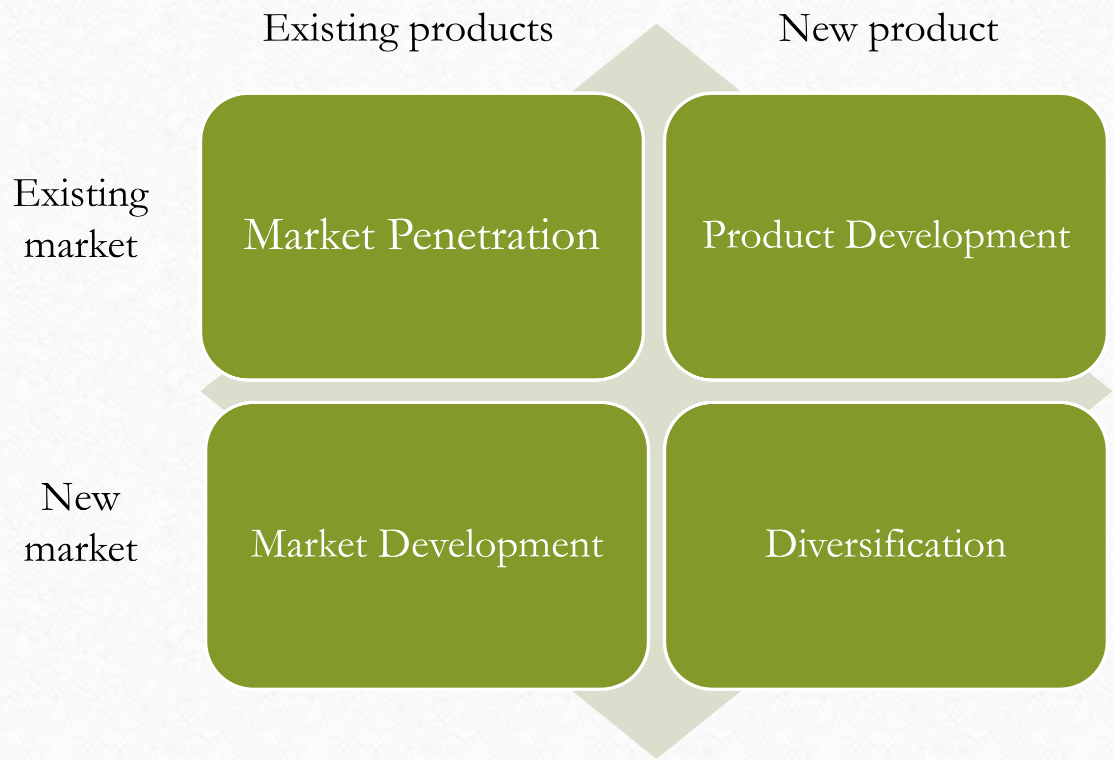
- **Question Marks:** They require a lot of cash to hold their share, let alone increase it. Management has to think hard about which question marks it should try to build into stars and which should be phased out.

- **Dogs:** They may generate enough cash to maintain themselves but do not promise to be large sources of cash.

Developing Strategies for Growth and Downsizing

- **Product/market expansion grid** is a tool for identifying company growth opportunities through market penetration, market development, product development, or diversification.

Product/market expansion grid



Product/market expansion grid

<u>Market penetration</u> is a growth strategy increasing sales to current market segments without changing the product.

- How? Add new stores in current market areas, improve advertising, adjust prices, service or store design.
- National foods limited (redesigned distribution system, enhanced marketing communication to consumers by using the internet)

<u>Market development</u> is a growth strategy that identifies and develops new market segments for current products.

- How? Identify new demographic or geographic markets.
- National foods limited (expanded into Middle East , North America and Indian market)

Product/market expansion grid

Product development is a growth strategy that offers new or modified products to existing market segments.

- How? New styles, flavors, colors, or modified products.
- National foods limited (started as a spice producer but over the years added condiments such as tomato ketchup, Chinese sauces and variety of pickles)

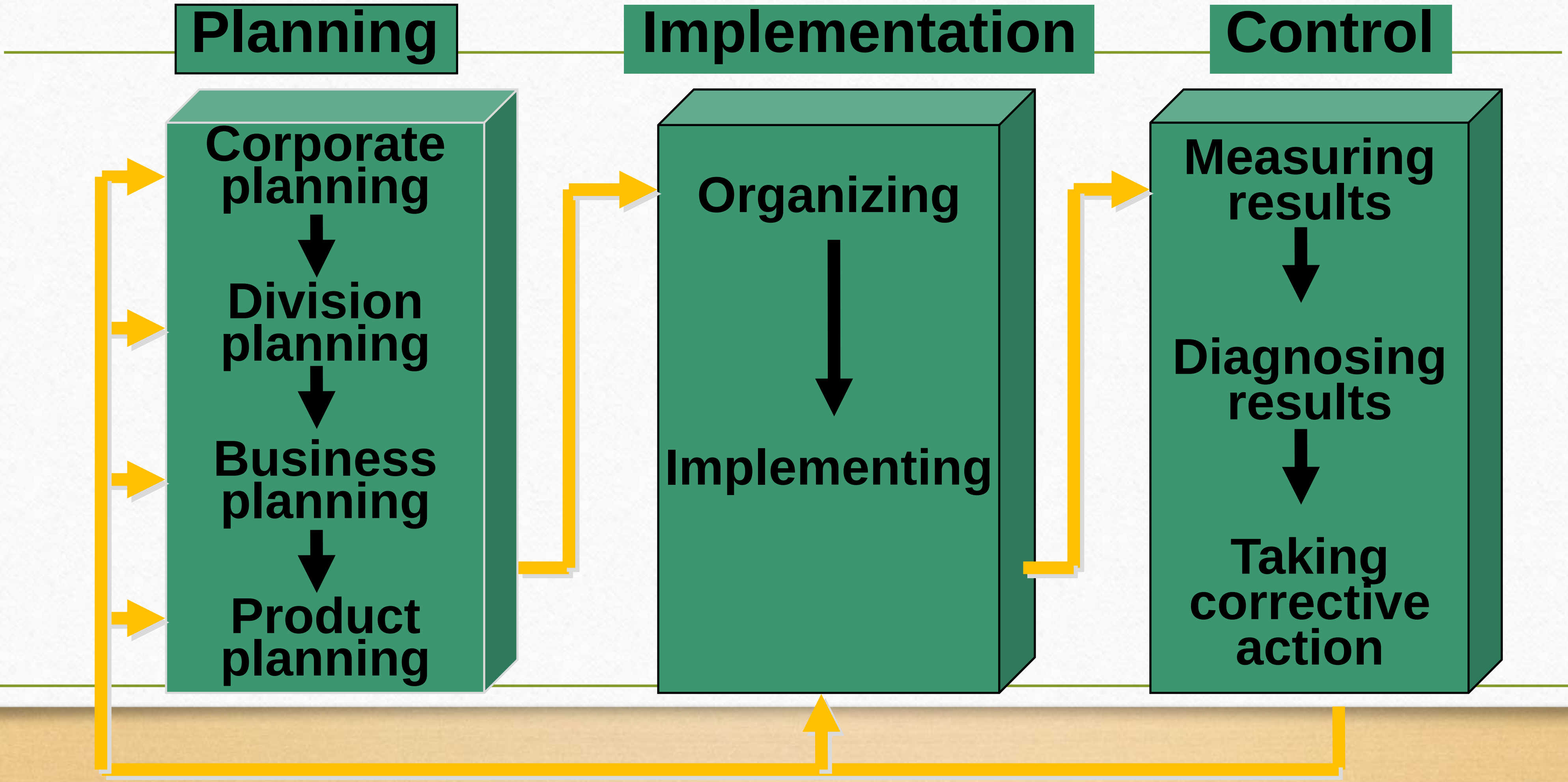
Diversification is a growth strategy through starting up or acquiring businesses outside the company's current products and markets.

- How? Start up or buy new businesses.
- National foods limited (introduced the Ronaq brand of ready-to-eat meals)

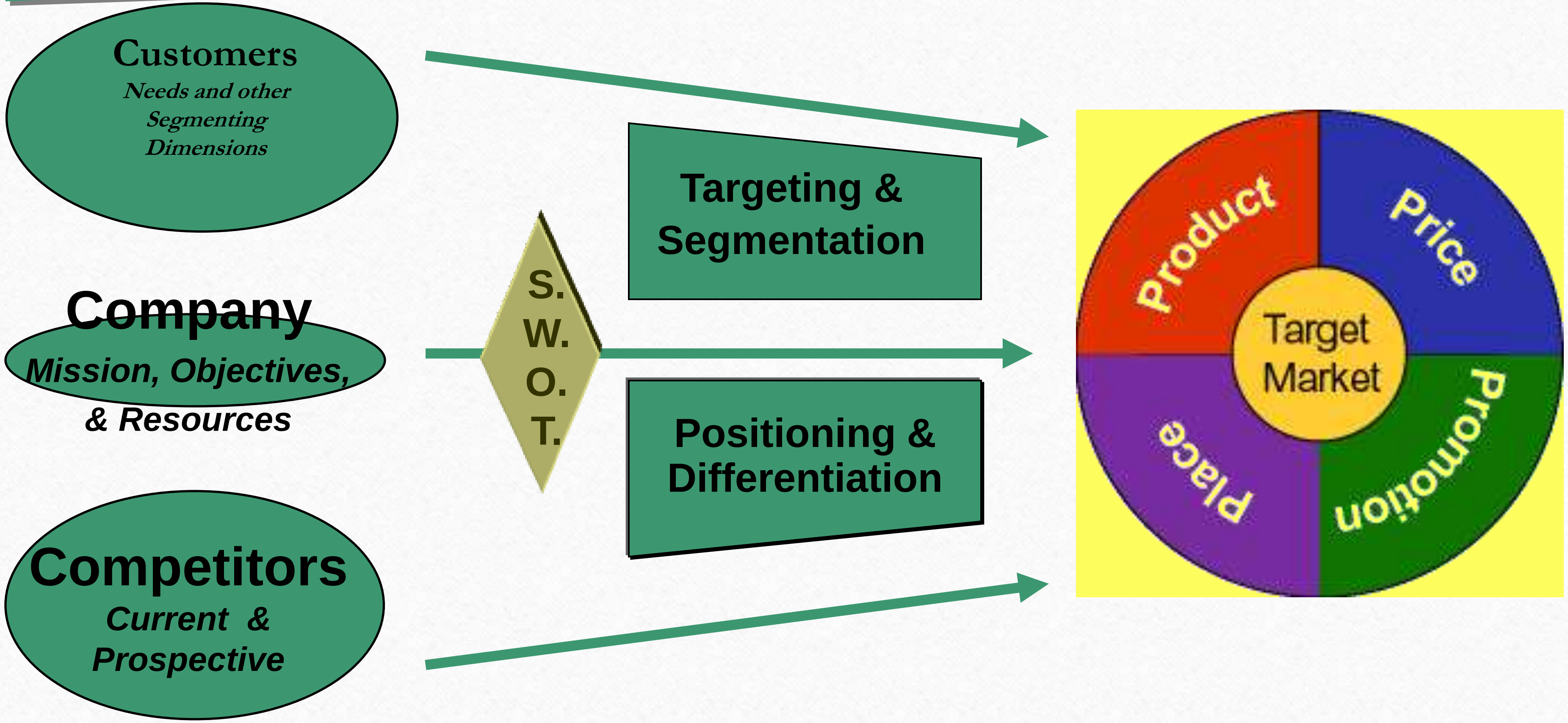
Developing Strategies for Growth and Downsizing

- **Downsizing** is the reduction of the business portfolio by eliminating products or business units that are not profitable or that no longer fit the company's overall strategy

Strategic Planning, Implementation, and Control Process



Narrowing down to focused strategy with quantitative and qualitative screening criteria



External Market Environment

Marketing Strategy & The Marketing Mix

- **Marketing strategy:** The marketing logic by which the business unit hopes to create customer value and achieve profitable customer relationship.
- **Market segmentation** is the division of a market into distinct groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.
- **Market segment** is a group of consumers who respond in a similar way to a given set of marketing efforts.
- **Market targeting** is the process of evaluating each market segment's attractiveness and selecting one or more segments to enter.

Marketing Strategy & The Marketing Mix

- **Market positioning** is the arranging for a product to occupy a clear, distinctive, and desirable place relative to competing products in the minds of the target consumer
- **Marketing mix** is the set of controllable tactical marketing tools—product, price, place, and promotion—that the firm blends to produce the response it wants in the target market

Marketing Control

- Controlling is the measurement and evaluation of results and the taking of corrective action as needed
  - Operating control (checking ongoing performance against the annual plan and taking corrective action when necessary)
  - Strategic control (looking at whether the company's basic strategies are well matched to its opportunities)

Principles of Marketing

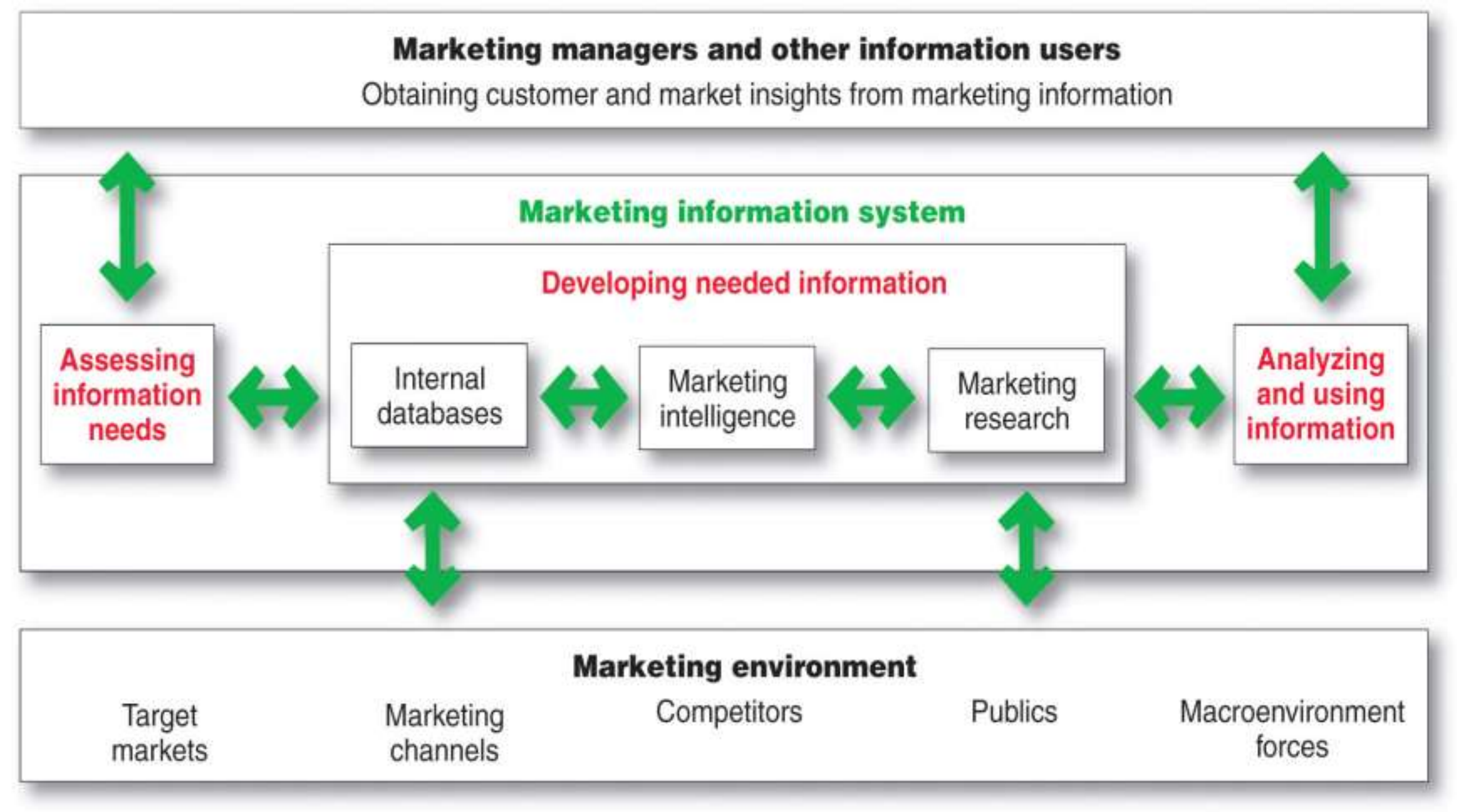
Chapter#4

Managing Marketing Information to Gain Customer Insights

Marketing Information System (MIS)

- People, equipment, and procedures to gather, sort, analyze, evaluate, and distribute needed, timely, and accurate information to marketing decision makers.

Marketing Information System



Purpose of MIS

- Assessing decision makers' information needs
- Developing needed information
- Distributing information to the users

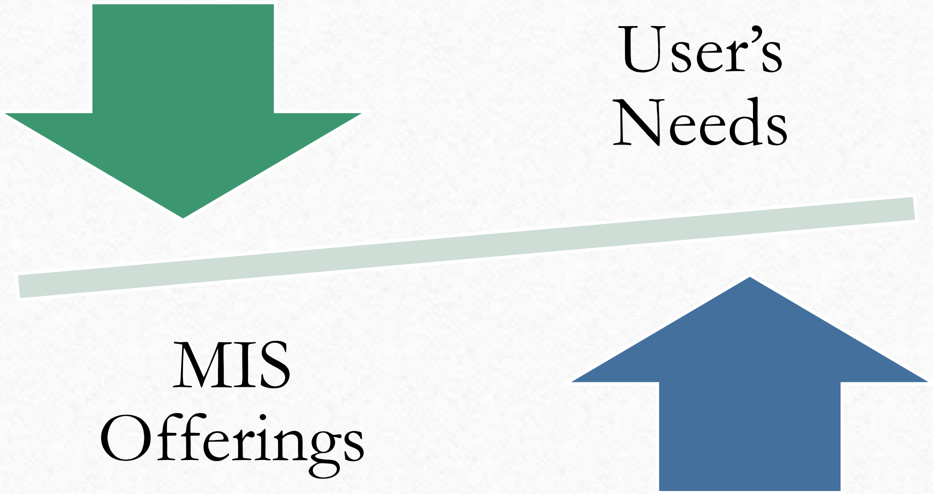
Steps of MIS

- Assessing the Marketing Information Needs
- Developing the Marketing Information
- Analyzing Marketing Information
- Distributing and using Marketing Information

Assessing Marketing Information Needs

Characteristics of a Good MIS

- Balancing what the information users would like to have against what they need and what is feasible to offer



Developing Marketing Information

Marketers obtain information from

- Internal data
- Marketing intelligence
- Marketing research

Internal Data

Internal databases are electronic collections of consumer and market information obtained from data sources within the company network

Marketing Intelligence

Marketing intelligence is the systematic collection and analysis of publicly available information about consumers, competitors, and developments in the marketplace.

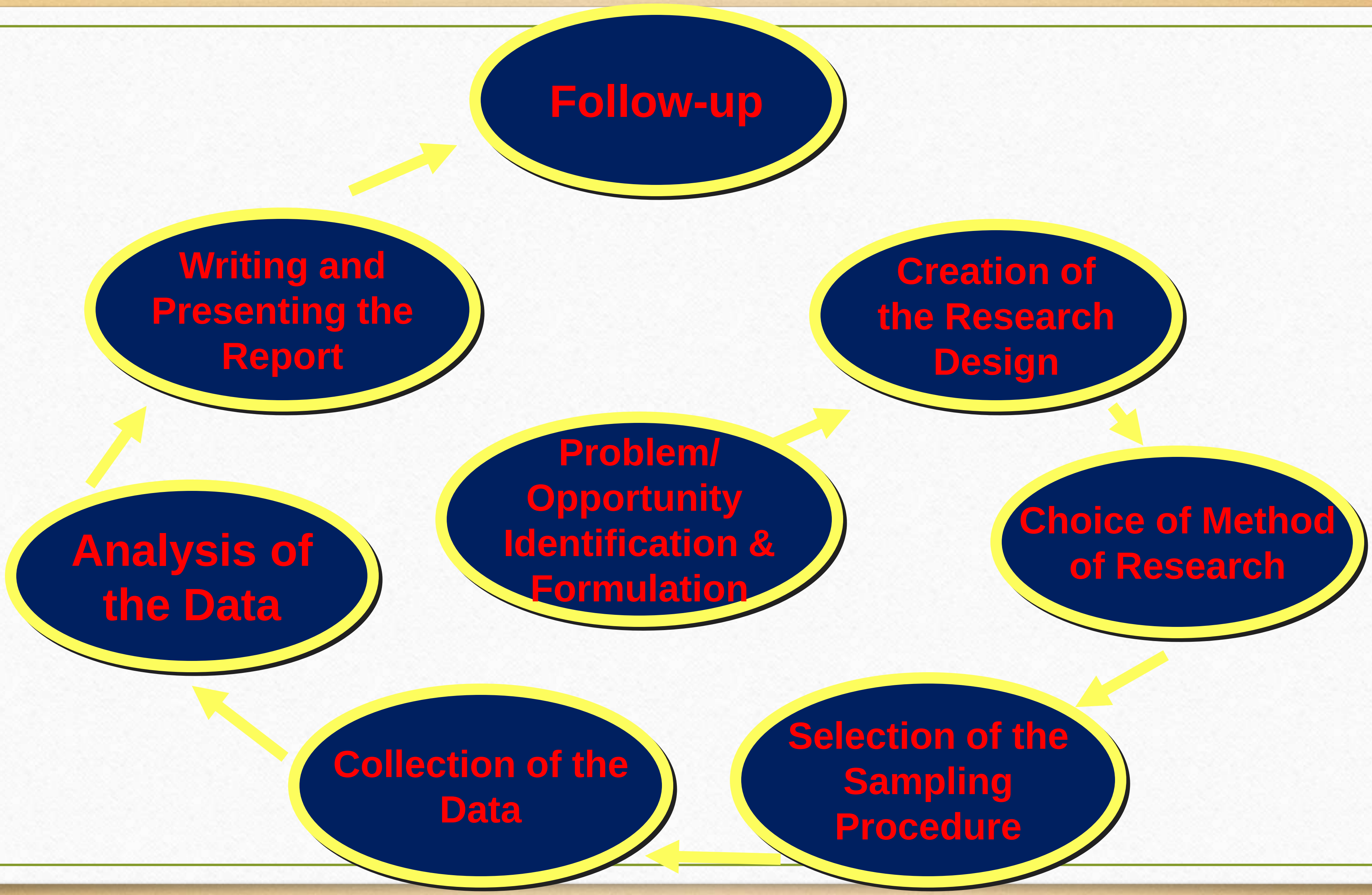
- Competitors
- Suppliers
- Resellers
- Customers
- Published Information

Marketing Research

Marketing research is the systematic design, collection, analysis, and reporting of data relevant to a **specific marketing situation** facing an organization.

Why Research?

- Provides information for aid in making business related decisions
  - Identify opportunities
  - Generate & refine actions
- Systematic & objective process
  - designing, gathering, analyzing & reporting information
  - used to solve a specific problem
- Helps reduce risk inherent in decision making


Follow-up
Writing and Presenting the Report
Creation of the Research Design
Problem/ Opportunity Identification & Formulation
Choice of Method of Research
Analysis of the Data
Collection of the Data
Selection of the Sampling Procedure

Steps in the Marketing Research Process

Step 1:
Problem Definition and the Research Objectives

The research process begins with the recognition of a marketing problem or opportunity.

As changes occur in the firm's external environment, marketing managers are faced with the questions, "Should we change the existing marketing mix?" and, "If so, how?"

Role of the Marketing Researcher

The first responsibility of the researcher is to work with the marketing manager to clearly articulate the management decision problems whose symptoms have been observed and then to define precisely the marketing research problem.

Definition of Research Objectives

These objectives are stated in terms of the precise information necessary to answer the marketing research problem/opportunity.

Objectives must be as specific and unambiguous as possible. The entire research effort is geared toward achieving the objectives.

Example

- **Research Objective:**
  "To investigate the impact of remote work on employee productivity and job satisfaction in the technology sector during the COVID-19 pandemic."
- This objective is specific (focuses on remote work), measurable (looks at productivity and job satisfaction), and contextually relevant (during the COVID-19 pandemic).

Step-2
Developing the Research Plan

- The research design is the plan to be followed to answer the research objectives or hypotheses.
- There is no single, best research design. Instead, the investigator faces an array of choices, each with certain advantages and disadvantages.
- Research objectives guide the determination of specific information needs.
- Research proposals outline the type of data needed and the research plan.
  - Primary data
  - Secondary data

- **Secondary data** consists of information that already exists somewhere, having been collected for another purpose.

- **Primary data** consists of information gathered for the special research plan.

Exploratory Research

- Exploratory research is usually small-scale research undertaken to define the exact nature of the problem and to gain a better understanding of the environment within which the problem has occurred.

Descriptive Research

- Implicit in descriptive research is the fact that management already knows or understands the underlying relationships of the problem area.
- Descriptive studies are limited to answering who, what, when, where, and how questions.

e.g. Market potential for a product

Causal Research

- In causal studies the researcher investigates whether one variable causes or determines the value of another variable.

A dependent variable is a variable expected to be predicted or explained. An independent variable is a variable in an experiment that the market research can, to some extent, manipulate, change, or alter.

Choosing a Basic Method of Research

- A research design, either descriptive or causal, is chosen according to a project's objective.
- The next step is to select a means of gathering data (or research methods).

Basic Research Methods/ Approaches

Survey

- Research in which an interviewer interacts with respondents (except in mail surveys) to obtain facts, opinions, and attitudes.

Observation

- Descriptive research that monitors respondent's actions without direct interaction.

Ethnographic research

- Involves sending trained observers to watch and interact with consumers in their natural environment

Basic Research Methods/ Approaches

Experiments

- The objective of experiments is to measure causality. Cause-and-effect relationship.
- An experiment is distinguished by the researchers changing one or more variables -- price, package, design while observing the effects of those changes on another variable (usually sales).

Contact Methods

- Mail questionnaires
- Telephonic Interview
- Personal interview
  - Group interview…Focus group interview
- Online Research

Sampling plan

Sample is a segment of the population selected for marketing research to represent the population as a whole.

- Who is to be surveyed? (sampling unit)
- How many people should be surveyed? (sample size)
- How should the people be chosen? (sampling procedure)

Sampling plan-Types of Samples

Probability Sample	
Simple random sample	Every member of the population has a known and equal chance of selection
Stratified random sample	The population is divided into mutually exclusive groups and random samples are drawn from each group
Cluster (area) sample	The population is divided into mutually exclusive groups and the researcher draws a sample
Nonprobability Sample	
Convenience sample	The researcher selects the easiest population members
Judgment sample	The researcher uses his/her judgment to select population members
Quota sample	The researcher finds and interviews a prescribed number of people in each of several categories

Research Instruments

- **Questionnaires**
  - Include open-ended and closed-ended questions
  - Phrasing and question order are key
- **Mechanical instrument**
  - People meters
  - Checkout Scanners
  - Neuro-Marketing

Step-3
Implementing the Research Plan

Collecting the Data

Analyzing the Data

- After the data have been collected, the next step in the research process is data analysis.
- The purpose of data analysis is to interpret and draw conclusions from the data that has been collected.

Step-4
Interpretation and Reporting of Findings

- After data analysis is completed, the researcher must prepare the report and communicate the conclusions and recommendations to management.
- The research will ordinarily be required to present both written and oral reports on the project.

Distributing and Using Marketing Information

Information distribution involves entering information into databases and making it available in a time-usable manner

- Intranet provides information to employees and other stakeholders
- Extranet provides information to key customers and suppliers

Marketing Research

(Traditional Marketing Vs Digital Marketing)

How is marketing research in conventional marketing different from marketing research in digital marketing?

Marketing research in conventional marketing and marketing research in digital marketing share some fundamental principles, but there are key differences due to the distinct nature of these two approaches. Here are the main differences between the two:

1. Data Source

- Conventional Marketing: In traditional or conventional marketing, data collection often relies on offline methods such as surveys, focus groups, telephone interviews, mail surveys, and physical observation. Data is typically collected in person or through traditional media channels like print, radio, and television.
- Digital Marketing: In digital marketing research, data is primarily collected through online channels and digital platforms. This includes website analytics, social media analytics, email marketing data, online surveys, online customer reviews, and data from e-commerce transactions.

2. Data Volume

- Conventional Marketing: Data volumes in conventional marketing research tend to be smaller compared to digital marketing. Surveys and interviews may involve a limited sample size, and data is collected less frequently.
- Digital Marketing: Digital marketing generates vast amounts of data due to the high volume of online interactions. Marketers can collect data in real-time, and the volume of data can be enormous, requiring sophisticated analytics tools.

3. Data Velocity

- Conventional Marketing: Data in traditional marketing is collected at a relatively slower pace since it often involves manual data entry and processing. Feedback and insights may not be available in real-time.
- Digital Marketing: Digital marketing data is collected in real-time or near real-time. Marketers can monitor website traffic, social media engagement, and other digital metrics as they happen, allowing for quick adjustments to campaigns.

4. Data Variety

- Conventional Marketing: Conventional marketing research data is primarily qualitative, relying on interviews, focus groups, and observations. It may involve a limited variety of data types.
- Digital Marketing: Digital marketing research involves a wide variety of data types, including text, images, videos, clickstream data, user-generated content, and more. This diverse data requires advanced analytics techniques.

5. Cost and Efficiency

- Conventional Marketing: Traditional marketing research methods can be costly and time-consuming. Organizing focus groups or conducting telephone surveys, for example, can require a significant budget and time investment.
- Digital Marketing: Digital marketing research can be more cost-effective and efficient because it leverages existing online tools and platforms for data collection. Many digital marketing analytics tools are accessible at lower costs or even for free.

6. Targeting and Personalization

- Digital Marketing: Digital marketing allows for highly targeted and personalized research efforts. Marketers can segment their audience based on online behavior, demographics, and other digital data, leading to more tailored marketing strategies.
- Conventional Marketing: Conventional marketing methods may have limitations in terms of audience segmentation and personalization compared to digital methods.

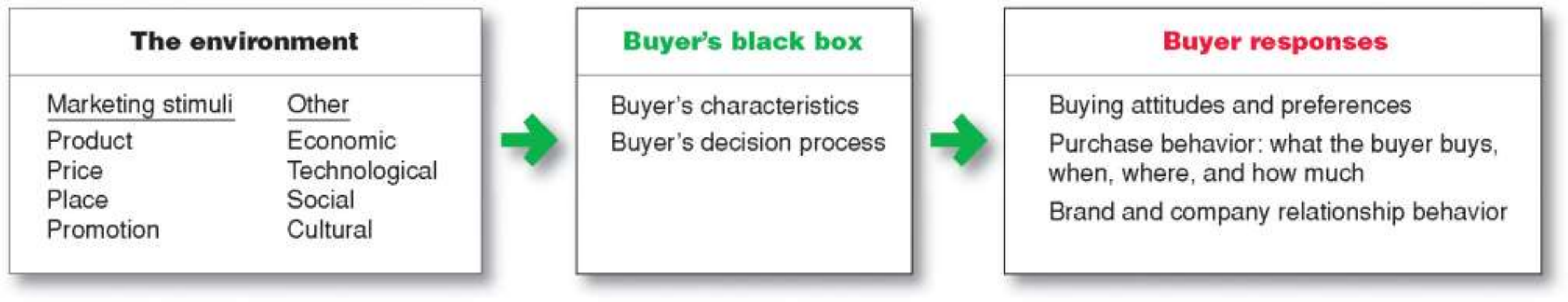
Consumer Behavior

In Conventional Marketing

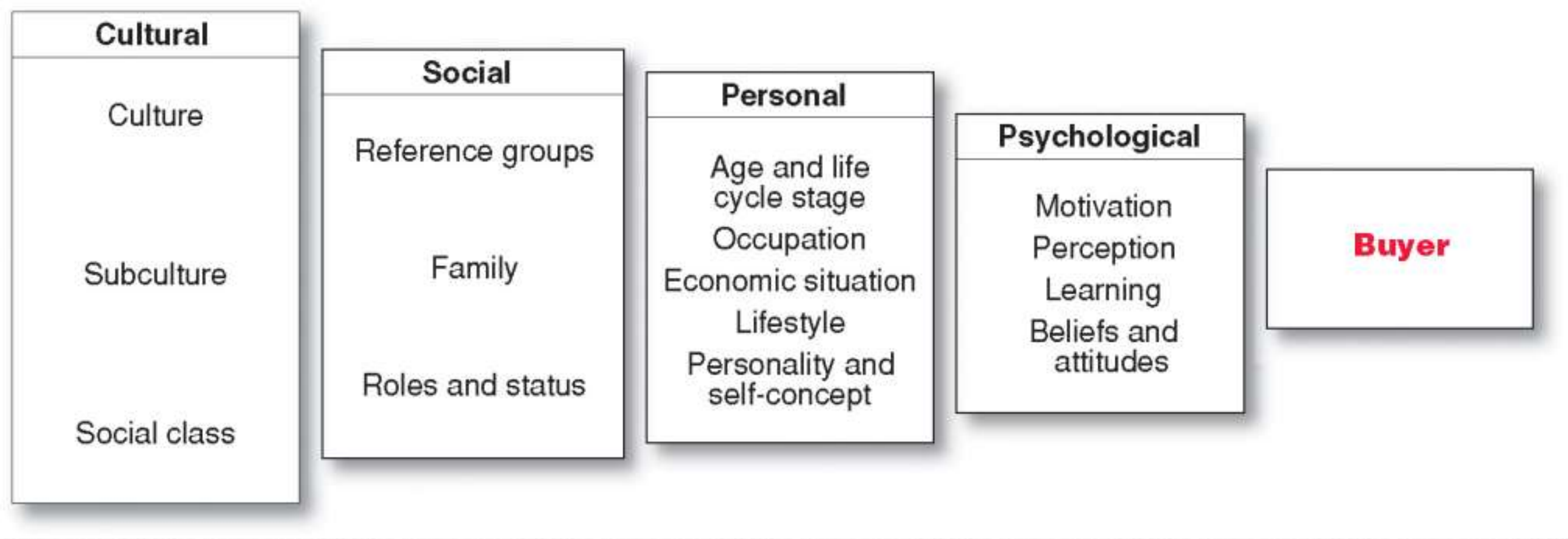
Consumer Buyer Behavior

- **Consumer market** refers to the group of individuals or households who purchase goods and services for personal consumption. It is a broad market segment that encompasses a wide range of products and services designed for individual use rather than for resale or industrial purposes.
- **Consumer buyer behavior** refers to the buying behavior of final consumers—individuals and households who buy goods and services for personal consumption

Model of Consumer Behavior



Characteristics Affecting Consumer Behavior



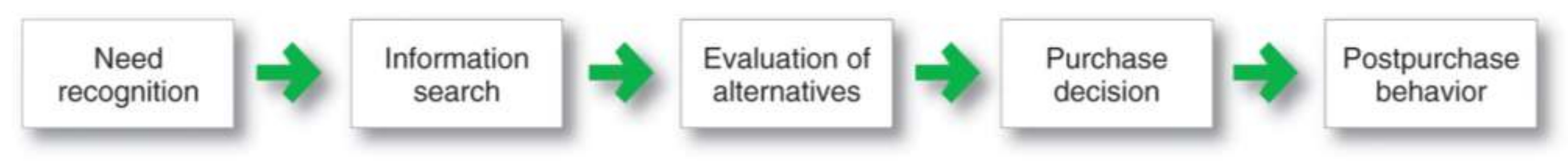
Types of Buying Decision Behavior

- Complex buying behavior
- Dissonance-reducing buying behavior
- Habitual buying behavior
- Variety-seeking buying behavior

Continued…

	High involvement	Low involvement
Significant differences between brands	Complex buying behavior	Variety-seeking buying behavior
Few differences between brands	Dissonance-reducing buying behavior	Habitual buying behavior

The Buyer Decision Making Process



Need Recognition

- Occurs when the buyer recognizes a problem or need triggered by:
  - Internal stimuli
  - External stimuli

Information Search Sources of Information

- Personal sources—family and friends
- Commercial sources—advertising, Internet
- Public sources—mass media, consumer organizations
- Experiential sources—handling, examining, using the product

Evaluation of Alternatives

- How the consumer processes information to arrive at brand choices

Purchase Decision

- The act by the consumer to buy the most preferred brand
- The purchase decision can be affected by:
  - Attitudes of others
  - Unexpected situational factors

Post-Purchase Decision

- The satisfaction or dissatisfaction that the consumer feels about the purchase
- Relationship between:
  - Consumer’s expectations
  - Product’s perceived performance
- The larger the gap between expectation and performance, the greater the consumer’s dissatisfaction
- Cognitive dissonance is the discomfort caused by a post-purchase conflict

The Buyer Decision Process for New Products

Adoption process is the mental process an individual goes through from first learning about an innovation to final regular use.

- Stages in the process include:

Awareness → **Interest** → **Evaluation** → **Trial** → **Adoption**

Influence of Product Characteristics on Rate of Adoption

Relative advantage (degree to which innovation appears superior to existing product)

Compatibility (degree to which the innovation fits the values & experiences of potential Consumer)

Complexity (degree to which an innovation is difficult to understand)

Divisibility (degree to which innovation may be tried on a limited basis)

Communicability (degree to which the results of using the innovation can be observed or described to others)

Target Marketing and Strategies

Conventional Marketing

Market Segmentation

Major Steps in Target Marketing

- ✓ Segmentation
- ✓ Target Marketing
- ✓ Market Positioning

Market Segmentation

Dividing a market into distinct groups with distinct needs, characteristics, or behavior who might require separate products or marketing mixes.

- Segmentation is breaking down heterogeneous mass market into more homogeneous submarkets
- Consumers within segments should respond similarly to particular marketing actions
- Consumer response should be different between segments

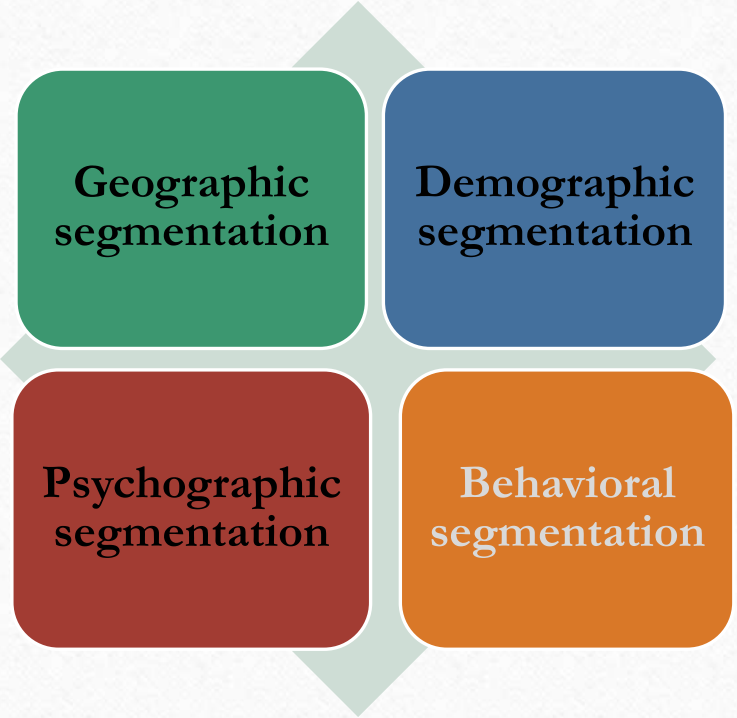
Target Marketing

The process of evaluating each market segment’s attractiveness and selecting one or more segments to enter.

Market Positioning

Arranging for a product to occupy a clear, distinctive, and desirable place relative to competing products in the mind of target consumers

Segmenting Consumer Markets



Geographical Segmentation

- Dividing a market into different geographical units such as nation, province, regions, countries, cities or neighborhoods

Geographic Segmentation Variables

- World Region or Country
- Region
- Province
- City
- Neighborhood
- City or Metro Size
- Density
- Climate

Demographic Segmentation

- Dividing the market into groups based on demographic variables such as age, gender, etc.

Demographic Segmentation Variables

- Age
- Gender
- Family size
- Family life cycle
- Income

- Occupation
- Education
- Religion
- Race
- Generation
- Nationality

Psychographic Segmentation

- Dividing a market into different groups based on social class, personality etc.

Psychographic Segmentation Variables

- Social class
- Lifestyle
- Personality

Behavioral Segmentation

- Dividing a market into groups based on consumer knowledge, attitude etc.

Behavioral Segmentation Variables

- Occasions
- Benefits
- User Status
- Attitude Toward the Product
- Usage Rate
- Loyalty Status
- Readiness Stage

Market Segmentation

Requirements for Effective Segmentation

- To be useful, market segments must be:

Measurable (size, purchasing power, profiles of segments can be measured)

Accessible (segments must be effectively reached and served)

Substantial (segments must be large or profitable enough to serve)

Differentiable (segments must respond differently to different marketing mix elements & actions)

Actionable (must be able to attract and serve the segment)

Steps in the Target Marketing Process

- Evaluating Market Segments
- Selecting Target Market Segments

Evaluating Market Segments

Segment Size and Growth

- (Collect data and)Analyze sales, growth rates and expected profitability.

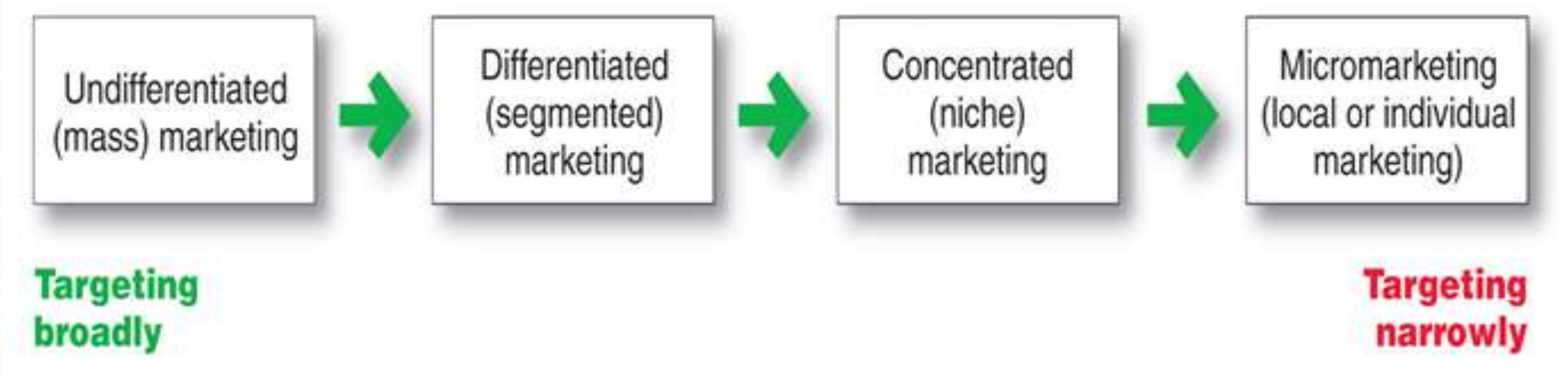
Segment Structural Attractiveness

- Consider effects of: Competitors, Availability of Substitute Products and, the Power of Buyers & Suppliers.

Company Objectives and Resources

- Company skills & resources relative to the segment (s).
- Look for Competitive Advantages.

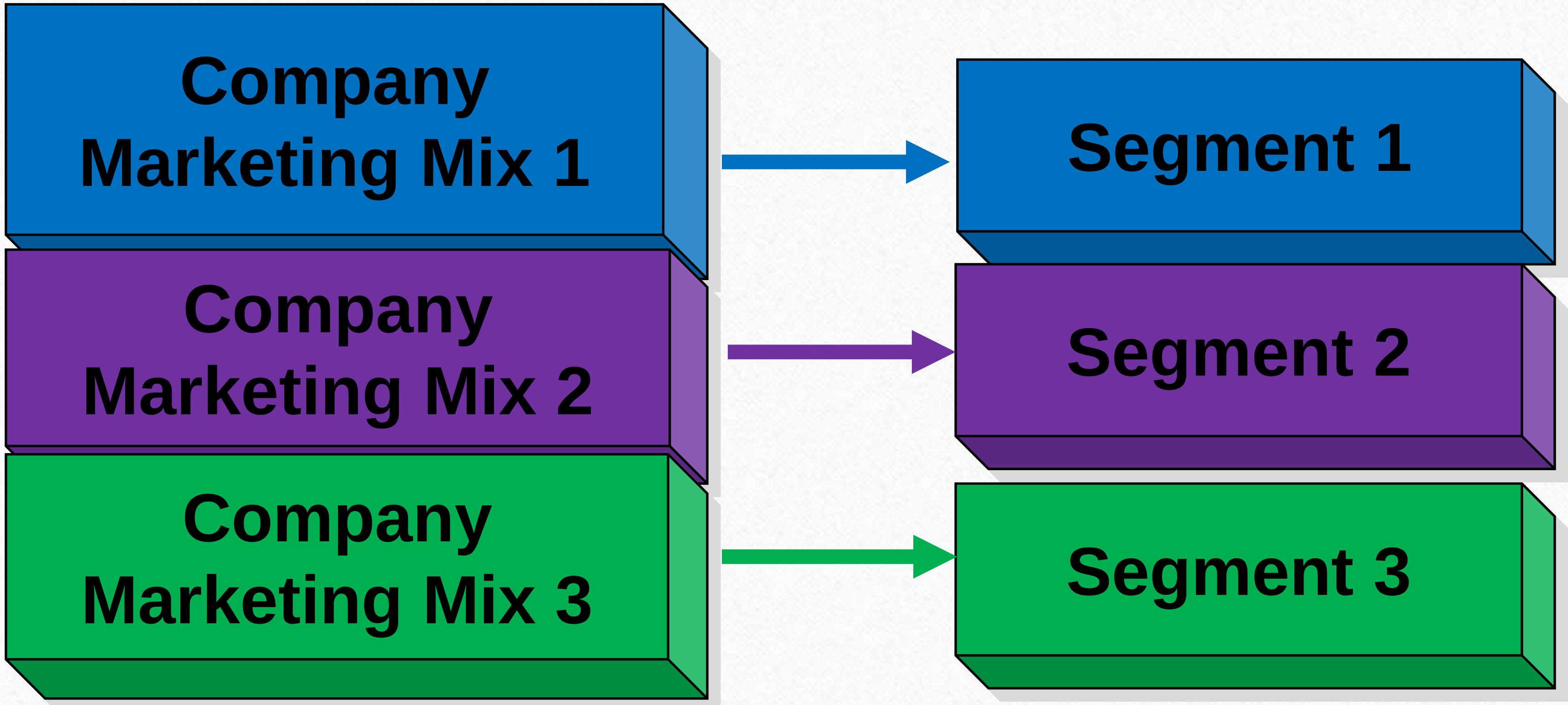
Target Marketing Strategies



Market Coverage Strategies

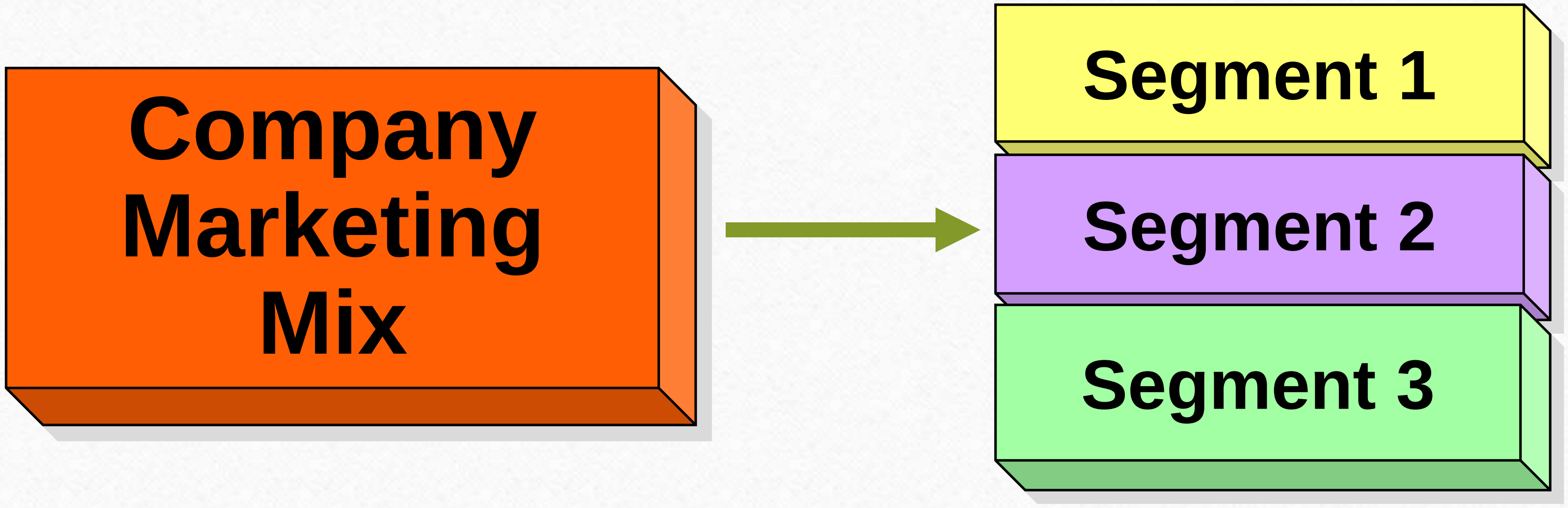
A. Undifferentiated Marketing

- ✓ targets the <u>whole market</u> with one offer.
- ✓ mass marketing
- ✓ Focuses on <u>common needs</u> rather than what's different.



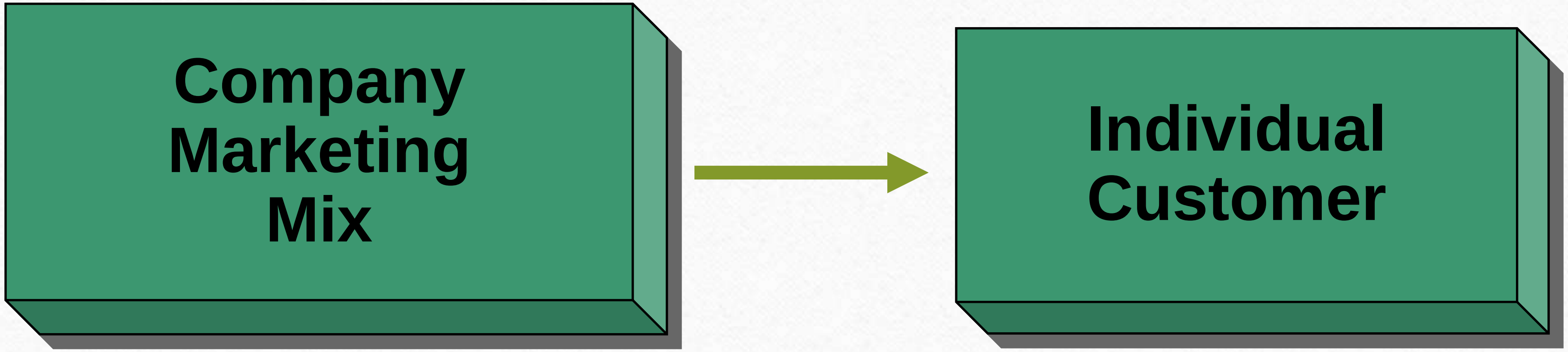
B. Differentiated Marketing

- ✓ targets several different market segments and designs separate offers for each.
- ✓ Goal is to achieve higher sales and stronger position.



C. Concentrated Marketing

- ✓ targets a **large share** of **one or few smaller segments or niches**
- ✓ Limited company resources
- ✓ Knowledge of the market
- ✓ More effective and efficient



D. Custom Marketing Strategy or Micromarketing Strategy

- ✓ the practice of tailoring products and marketing programs to suit the tastes of specific <u>individuals</u> and <u>locations</u>.
- ✓ Local marketing
- ✓ Individual marketing

Local marketing involves tailoring brands and promotion to the needs and wants of local customer groups

- Cities
- Neighborhoods
- Stores

Individual marketing involves tailoring products and marketing programs to the needs and preferences of individual customers

Also known as:

- ✓ One-to-one marketing
- ✓ Mass customization
- ✓ Markets-of-one marketing

Positioning for Competitive Advantage

- **Product's Position** - the place the product occupies in consumers' minds relative to competing products.

- **Marketers must:**
  - Plan positions to give products the greatest advantage
  - Develop marketing mixes to create planned positions

Differentiation and Positioning

Choosing the Right Competitive Advantage

Difference to promote should be:

Important
(difference delivers a highly valued benefit to target buyers)

Distinctive
(competitors do not offer the difference or the company can offer it in a more distinctive way)

Superior
(difference is superior to other ways that customers might obtain the same benefit)

Communicable
(difference is communicable and visible to buyers)

Preemptive
(competitors can not easily copy the difference)

Affordable
(buyers can afford to pay the difference)

Profitable
(the company can introduce the difference profitably)

Choosing and Implementing a Positioning Strategy

- Step 1. Identifying a set of possible competitive advantages: Competitive Differentiation.
- Step 2. Selecting the right competitive advantage.
- Step 3. Effectively communicating and delivering the chosen position to the market.

Differentiation and Positioning

Choosing a Differentiation and Positioning Strategy

Identifying a set of possible competitive advantages to build a position by providing superior value from:

- Product differentiation
- Service differentiation
- Channel differentiation
- People differentiation
- Image differentiation

Differentiation and Positioning

Selecting an Overall Positioning Strategy

Value proposition is the full positioning of a brand -the full mix of benefits upon which a brand is positioned